File 38: Clemson Workstream — Page 3: Conservation Easement Transactions & Restrictive Deed Covenants

> ***Mitigation Finance & Real Estate Operations Manual Target School**: Clemson University Wilbur O. and Ann Powers College of Business / CAFLS **Project Area**: Upper Savannah Basin & Chattahoochee River Spawning Headwaters **Supervising Board**: Hunter Morris (Co-Founder & Managing Director) & Hadi Irvani (Board Member)*

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1. Regulatory Context: Permanent Land Protection

A stream mitigation bank cannot sell commercial credits unless the underlying land is permanently protected from development.
Under the **USACE 2008 Mitigation Rule (33 CFR Part 332)**, a formal **Conservation Easement** must be recorded in the local county deed registry before any credits are released. This easement is a legally binding, permanent covenant that restricts forestry, grading, subdivision, and commercial construction within the stream buffer corridor in perpetuity.
As a Clemson Real Estate Intern, your role is to manage the transactional pipeline with regional **Land Trusts** (e.g., Georgia Land Trust) and handle title subordination due diligence.

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2. Land Trust Coordination Pipeline

You will manage the 5-step land protection pipeline for every new joint-venture property:

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                     CONSERVATION EASEMENT REGULATORY STEPS

    [ Step 1: Perform Title Search ] ---> [ Step 2: Draft Restrictive Covenants ]
                                                                |
    [ Step 4: Transfer to Land Trust ] <-- [ Step 3: Prior Lien Subordination ]
              |
              v
    [ Step 5: Fund Long-Term Stewardship Endowment Trust ($90,000 baseline) ]
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- **Step 1: Perform a Comprehensive Title Search**: Hire a regional title company to perform a 50-year search on the parcel. Verify there are no outstanding utility easements or oil/gas/mineral leases that could compromise the stream buffer.
- **Step 2: Draft Restrictive Covenants**: Coordinate with our legal team (using our *Lawyers Directory* in File 25) to draft the exact boundaries of the riparian easement corridor (typically extending 100 feet outward from the channel thalweg).
- **Step 3: Secure Mortgage Subordination**: If the property has an active mortgage, you must secure a formal **Mortgage Subordination Agreement** from the bank (referencing our *Bankers Directory* in File 24). This ensures the conservation easement survives foreclosure, a non-negotiable USACE requirement.

- **Step 4: Execute Deed Transfer to the Land Trust**: Secure board and landowner signatures to record the easement at the county courthouse.
- **Step 5: Fund the Stewardship Endowment**: Transfer the required long-term monitoring endowment (calculated as $LTM_{Cap} = \text{Annual Monitoring Cost} / r$) to the Land Trust to fund their annual site audits.

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3. Title Audits & Mortgage Subordination Covenants

Securing mortgage subordination is the single most common bottleneck in mitigation real estate. If a landowner's bank refuses to subordinate, the USACE will refuse to approve the bank.
You will utilize the following pre-approved subordination clause in all bank negotiations:

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CONSERVATION EASEMENT SUBORDINATION CLAUSE (DEED SECTION VIII)
By signing this document, [Lending Bank Name] ("Mortgagee"), as the holder of that certain
 Deed to Secure Debt recorded in Deed Book [Page], County Records, hereby consents to the
recording of this perpetual Conservation Easement over the described Stream Buffer Corrido
r.

The Mortgagee formally agrees that its lien, interest, and foreclosure rights in the prope
rty shall be, and are hereby made, subject and subordinate to the terms, covenants, and pe
rmanent ecological restrictions of this Conservation Easement. In the event of foreclosure
 or transfer in lieu of foreclosure, the Conservation Easement shall remain intact and run
 with the land in perpetuity, binding all subsequent purchasers.
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4. Land Stewardship Endowment Trust Model

Under Georgia Land Trust covenants, we must fund a capitalized permanent endowment to cover their annual monitoring, reporting, and easement enforcement costs.
You will calculate this endowment using the capitalization formula:

$$LTM_{Cap} = \frac{\text{Annual Monitoring Expense}}{r}$$

Where:

- $\text{Annual Monitoring Expense} = \$4,500.00 \text{ (covering land trust travel, field surveys, and legal reports)}$.
- $r = \text{Stewardship Trust long-term yield rate (conservatively capped at } 5.0\% \text{ or } 0.05)$.

Calculation:

$$LTM_{Cap} = \frac{\$4,500.00}{0.05} = \mathbf{\$90,000.00}$$

You must ensure that exactly **$90,000.00** is set aside from our Year 0 capital reserves to fund the stewardship endowment, satisfying the USACE permanent financing guidelines.